Factor cost (FC)

There are a number of inputs that are included into a production process when producing goods and services. These inputs are commonly known as factors of production which include land, labour, capital and entrepreneurship.

Producers of goods and services incur a cost for using these factors of production. These costs are ultimately added onto the price of the product.

The factor cost refer to the cost of production that is incurred by a firm when producing goods and services.

Examples of such production costs include the cost of renting machines, purchasing machinery and land, paying salaries and wages, cost of obtaining capital, and the profit margins that are added by the entrepreneur.

The factor cost does not include the taxes that are paid to the government since taxes are not directly involved in the production process and, therefore, are not part of the direct production cost.

However, subsidies received are included in the factor cost as subsidies are direct inputs into the production.

Market price (MP)

Once goods and services are produced they are sold in a market place at a set market price.

The market price is the price that consumers will pay for the product when they purchase it from the sellers.

Taxes charged by the government will be added onto the factor price while subsides provided will be reduced from the factor price to arrive at the market price.

Taxes are added on because taxes are costs that increase the price, and subsidies are reduced because subsidies are already included in the factor cost, and cannot be double counted when market price is calculated.

Thus, **MP** = FC + Indirect Taxes - Subsidies ..... Equation (1)

Or, **FC** = MP - Indirect Taxes + Subsidies ..... Equation (2)

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